

Paradiem 

The Morning Brief

JUNE 26, 2026

Memory Tax Transmits

Apple absorbs the chip-cost flow-through as Micron-validated semis lead and a Hormuz drone strike reignites Brent.

S&P 500 (THU)	NASDAQ (THU)	AAPL (THU)	BRENT (BNO THU)	FEAR & GREED
\$734.30 · ↑0.14%	\$716.38 · ↑0.81% · recovered off \$705.30 intraday low	\$275.15 · ↓6.12% · ~\$265B mcap loss on memory-cost price hikes per NBC News	\$41.88 · ↑2.80% · reignited on Hormuz drone strike	25.5 · Fear (CNN, drop fell back to Crypto 13)

SECTION 01

Markets — Memory Cost Transmits Through Apple as the Chip Cohort Reclaims Leadership

PER THE DATA DROP, THURSDAY CLOSED MIXED-TO-HIGHER WITH THE S&P 500 PROXY AT \$734.30 (↑0.14%), THE NASDAQ PROXY AT \$716.38 (↑0.81%) AFTER REPORTEDLY TRADING AS LOW AS \$705.30 INTRADAY, THE DOW PROXY AT \$519.26 (↑0.14%), AND THE RUSSELL 2K PROXY AT \$298.91 (↑0.75%) — THE TAPE REPORTEDLY CARRIED THE MICRON WEDNESDAY-AFTER-CLOSE VALIDATION PRINT THROUGH WITHOUT A CLEAN RISK-ON READ, AS XLI (INDUSTRIALS) REPORTEDLY CLOSED AT \$184.12 (↑2.17%), XLV (HEALTHCARE) AT \$155.63 (↑1.49%), XLB (MATERIALS) AT \$51.84 (↑1.33%), AND XLK (TECH) AT \$184.57 (↑0.83%) AGAINST XLY (DISCRETIONARY) AT \$113.35 (↓1.49%) AND XLC (COMMUNICATION SERVICES) AT \$105.58 (↓0.90%)

Per CBS News and CNBC coverage, the U.S. Bureau of Economic Analysis (BEA) reportedly released the May Personal Consumption Expenditures (PCE) Price Index Thursday morning at 8:30 ET, with headline PCE reportedly running at a 4.1% annual rate (reportedly the highest since April 2023 per CBS News) and core PCE reportedly at 3.4% annual (reportedly the highest since October 2023 per CBS News). Per Fortune coverage cited via the data drop's ecosystem and prior briefs, Bank of America has reportedly called for approximately 75 basis points of Fed hikes in 2026 under Chair Warsh as the inflation reacceleration crystallizes. TLT closed essentially flat at \$87.35 (↓0.03% per the data drop) while UVXY closed at \$26.97 (↓2.46%), reportedly indicating the bond and vol markets absorbed the print without a hawkish capitulation. Carson's active SPY support at \$645.80 (set 2026-04-13) remains well-removed from the cash tape at this writing.

S&P 500 PROXY (THU)	\$734.30 · ↑0.14% · range \$729.60–\$739.37
NASDAQ PROXY (THU)	\$716.38 · ↑0.81% · intraday low \$705.30 reclaimed
XLI (THU)	\$184.12 · ↑2.17% · sector-best on CAT ↑6.29%
XLY (THU)	\$113.35 · ↓1.49% · sector-worst on AAPL transmission
MAY PCE (HEADLINE)	Reportedly 4.1% YoY · highest since Apr 2023 per CBS News
MAY CORE PCE	Reportedly 3.4% YoY · highest since Oct 2023 per CBS News
CARSON'S SPY SUPPORT	\$645.80 · active · well-removed from cash tape

PER BLOOMBERG, NBC NEWS, APPLEINSIDER, TRADERSUNION, AND YAHOO FINANCE COVERAGE CITED VIA THE DATA DROP'S HEADLINE RUN, APPLE REPORTEDLY CLOSED AT \$275.15 (↓6.12%) THURSDAY ON WHAT NBC NEWS REPORTEDLY CHARACTERIZED AS THE WORST SINGLE-DAY PERFORMANCE IN MORE THAN A YEAR, WIPING OUT APPROXIMATELY \$265 BILLION IN MARKET CAPITALIZATION PER NBC NEWS — PER APPLEINSIDER AND BLOOMBERG COVERAGE, THE SELL REPORTEDLY FOLLOWED APPLE'S ANNOUNCEMENT OF PRICE INCREASES OF AS MUCH AS \$200 ACROSS THE MACBOOK NEO, MACBOOK AIR, IMAC, IPAD, VISION PRO, AND HOME DEVICE LINES WITH IPHONE, WATCH, AND AIRPODS REPORTEDLY UNCHANGED — PER YAHOO COVERAGE, APPLE REPORTEDLY ATTRIBUTED THE INCREASES TO AI-DRIVEN MEMORY COST INFLATION SOME INDUSTRY SOURCES HAVE REPORTEDLY TERMED "RAMAGEDDON," WITH CONTRACT DRAM REPORTEDLY UP APPROXIMATELY 90% IN 1Q26 AND APPROXIMATELY 60% IN 2Q26 PER INDUSTRY SOURCES CITED VIA YAHOO

For FCI's growth backbone, the through-print reportedly converted Wednesday's Micron contract framework into a tangible end-device cost transmission and lifted the Micron supplier cohort to leadership: LRCX closed at \$401.82 (↑7.21% per the data drop) leading the FCI movers tape, QCOM at \$204.90 (↑3.79%) reclaiming the Tuesday flush

after the Meta partnership and investor day, AMD at \$532.57 (↑2.47%) absorbing its MEXT acquisition announcement per Yahoo cited via the data drop, NXPI at \$298.64 (↑1.56%), and KEYS at \$360.06 (↑2.49%), with NVDA an exception at \$195.74 (↓1.64%) and CRDO at \$268.03 (↓0.36%) reportedly extending the SeekingAlpha downgrade pressure. The structural read for the investment committee is that the AI memory cycle reportedly carries through-print evidence at the device-OEM layer, with hyperscaler and end-device hardware margins reportedly bearing the cost. **Research Reveals Opportunities.**

THE INDUSTRIALS SLEEVE REPORTEDLY CARRIED THE TOP OF THE FCI MOVERS TAPE THURSDAY DESPITE THE INFLATION CROSS-CURRENTS: CAT CLOSED AT \$1,057.01 (↑6.29% PER THE DATA DROP) AFTER YAHOO COVERAGE REPORTEDLY FLAGGED A DELL TEXAS MANUFACTURING ANNOUNCEMENT ALONGSIDE THE EXISTING TESLA, ORACLE, AND CATERPILLAR TEXAS FOOTPRINT, VLO AT \$255.06 (↑5.21%) ON THE CRUDE RECOVERY, PCAR AT \$121.68 (↑3.97%), AND STLD AT \$251.00 (↑3.96%) ON THE KEYBANC OVERWEIGHT MAINTAIN WITH TARGET REPORTEDLY RAISED TO \$262 PER BENZINGA — THE DIVIDEND SLEEVE REPORTEDLY EXTENDED THE INDUSTRIAL-AI INFRASTRUCTURE TRADE THAT HAS BEEN BUILDING ACROSS THE BRIEF SERIES THROUGH LATE JUNE, WITH THE COHORT REPORTEDLY UNDERWRITING THE TAPE AGAINST THE APPLE DRAG

Per Yahoo coverage cited via the data drop, DVN reportedly faces fresh activist pressure with Toms Capital reportedly taking a top-five stake; the energy sleeve closed mixed with DVN at \$42.60 (↓0.33%), CVX at \$172.24 (↑0.46%) following a Yahoo-cited offshore expansion headline, and OKE at \$89.52 (↑2.53%). VLO's ↑5.21% print at \$255.06 reportedly tracked the WTI rebound to \$109.31 (↑2.84%) and Brent (BNO proxy) to \$41.88 (↑2.80%) following the Hormuz cargo ship incident detailed in Section 02. **Think Like an Owner.**

Memory cost transmission to end-device pricing reportedly converts the Micron contract framework into observable hardware-OEM erosion — the chip cohort reclaims leadership while Apple absorbs the cost. The physical world matters.

Geopolitics — Hormuz Rattled by Cargo-Ship Strike, Vance and Rubio Diverge on Iran-Israel

PER FOX NEWS DIGITAL, SOUTH CHINA MORNING POST, AL-MONITOR, CBS NEWS, AND CBC NEWS COVERAGE, A SINGAPORE-FLAGGED CARGO SHIP REPORTEDLY IDENTIFIED AS THE EVER LOVELY WAS REPORTEDLY STRUCK BY A DRONE THURSDAY WHILE LEAVING THE STRAIT OF HORMUZ APPROXIMATELY 7.5 NAUTICAL MILES SOUTHEAST OF DAHIT, OMAN PER THE UNITED KINGDOM MARITIME TRADE OPERATIONS CENTER — PER FOX NEWS DIGITAL CITING U.S. OFFICIALS, THE ATTACK WAS REPORTEDLY ATTRIBUTED TO IRAN'S ISLAMIC REVOLUTIONARY GUARD CORPS AND REPORTEDLY REPRESENTS THE FIRST SUCH STRIKE SINCE THE U.S.-IRAN MEMORANDUM OF UNDERSTANDING REPORTEDLY SIGNED JUNE 17 PER REUTERS AND WIKIPEDIA COVERAGE — PER REUTERS VIA THE DATA DROP, THE UNITED NATIONS MARITIME AGENCY REPORTEDLY PAUSED ITS HORMUZ SHIP EVACUATION INITIATIVE FOLLOWING THE ATTACK

For FCI's energy sleeve, the Thursday tape reportedly read the incident as a meaningful but bounded reignition rather than a clean de-escalation reversal: WTI (USO proxy) closed at \$109.31 (↑2.84%) and Brent (BNO proxy) at \$41.88 (↑2.80%) per the data drop, reportedly retracing only a portion of Wednesday's ↓4.47% and ↓4.23% drawdowns. Per Wikipedia and AP coverage cited via the broader news ecosystem, Vice President Vance reportedly disclosed earlier in the week that 16 million barrels reportedly transited the Strait on June 21 — reportedly a single-day record. The supply read for the dividend sleeve is that physical cargo flows have reportedly resumed at elevated pace even as the security overlay reportedly remains fragile, with VLO at \$255.06 (↑5.21%) and OKE at \$89.52 (↑2.53%) absorbing the rebound. **Avoid Erosion.**

PER REUTERS COVERAGE CITED VIA THE DATA DROP HEADLINE RUN, VICE PRESIDENT VANCE AND SECRETARY OF STATE RUBIO REPORTEDLY STRUCK DIFFERENT TONES ON IRAN AND ISRAEL THIS WEEK — PER THE SAME HEADLINE RUN, RUBIO'S REPORTEDLY ONGOING UAE-KUWAIT-BAHRAIN TOUR AIMED AT SECURING GULF BACKING FOR THE IRAN DEAL REPORTEDLY CONTINUES TO BUILD THE DIPLOMATIC ARCHITECTURE, WHILE VANCE'S HORMUZ TRANSIT DISCLOSURES AND THE EARLIER TURKEY F-35 REVIEW STATEMENTS REPORTEDLY FRAME A MORE OPERATIONALLY-FOCUSED POSTURE — PER APPLEINSIDER, YAHOO, AND REUTERS COVERAGE CITED VIA THE DATA DROP, THE HORMUZ INCIDENT REPORTEDLY LANDS AS THE FIRST STRIKE SINCE THE JUNE 17 MEMORANDUM AND REPORTEDLY TESTS THE U.S.-IRAN FRAMEWORK

For FCI's defense sleeve, the Thursday tape reportedly traded the Hormuz reignition cleanly into the LMT-led recovery: LMT closed at \$505.02 (↑2.72% per the data drop) reportedly reclaiming the prior-session drawdown, GD at \$344.70 (↑0.11%), and the THAAD framework agreement reportedly retains the multiyear procurement architecture (up to \$35B / 7 years per LMT release cited via the prior brief). The investment-committee read is that the diplomatic and operational tracks reportedly continue to run in parallel

without thesis disruption to either the defense or the energy sleeves — the de-escalation read carries through-print evidence on cargo flows while the security premium reportedly retains tactical justification on incidents like the Ever Lovely strike. **The physical world matters.**

EVER LOVELY STRIKE	Reportedly drone hit ~7.5nm SE of Dahit, Oman per UKMTO/Fox News Digital
ATTRIBUTION	Reportedly IRGC per U.S. officials cited via Fox News Digital
UN HORMUZ EVACUATION	Reportedly paused per Reuters via the data drop
BRENT (BNO THU)	\$41.88 · ↑2.80% · partial retrace of Wed ↓4.23%
WTI (USO THU)	\$109.31 · ↑2.84% · partial retrace of Wed ↓4.47%
LMT (THU)	\$505.02 · ↑2.72% · reclaimed prior-session drawdown
HORMUZ FLOWS (JUN 21)	Reportedly 16M bbl single-day record per Vance cited via Wikipedia/AP

On Our Radar

1. UMich Final June Consumer Sentiment, 10:00 ET. Per the University of Michigan Surveys of Consumers schedule and FXStreet's economic calendar, the final June Index of Consumer Sentiment is reportedly scheduled for release today, following the preliminary print at 48.9 reportedly up from May's all-time low of 44.8 per Self Employed coverage of the preliminary release. Year-ahead inflation expectations reportedly edged to 4.6% in the preliminary print from 4.8% in May. For FCI's dividend sleeve, a revision lower in long-run inflation expectations would reportedly retain consistency with the Wednesday TLT bid (↑1.37%) and Thursday flat print (↓0.03%), while a revision higher would reportedly carry direct PCE-extension implications for the Warsh hike track.

2. Memory Cost Transmission — Hardware OEM Sell-Through. Apple's reportedly ~↓6.12% Thursday print at \$275.15 per the data drop ecosystem and the reportedly ~\$200 price increases across the MacBook Neo, MacBook Air, iMac, iPad, Vision Pro, and Home Device lines per AppleInsider and Bloomberg reportedly appear to mark among the first observable end-device transmissions of the Micron \$100B contract framework. Watch for follow-through pricing actions from adjacent hardware OEMs (Dell, HP, Lenovo) and any contract-pricing color from Apple's supplier base — the read for FCI's chip cohort (LRCX ↑7.21%, QCOM ↑3.79%, AMD ↑2.47% per the data drop) is that the contract leverage reportedly remains in place.

3. Hormuz Security Overlay — Tanker Insurance and Routing. The Ever Lovely strike approximately 7.5nm SE of Dahit per UKMTO reportedly tests the June 17 U.S.-Iran memorandum without breaking the cargo-flow recovery (reportedly 16M bbl Jun 21 per Vance via Wikipedia/AP). Watch tanker insurance war-risk premiums, routing diversions away from Hormuz, and any IRGC public-channel signaling — for FCI's VLO (\$255.06, ↑5.21% Thu per the data drop), CVX (\$172.24, ↑0.46%), DVN (\$42.60, ↓0.33%), and OKE (\$89.52, ↑2.53%) positions, the security overlay reportedly continues to underwrite an asymmetric premium even as flows resume.

4. CAT ↑6.29% — Texas Manufacturing Ecosystem Build. Per Yahoo coverage cited via the data drop, the Dell Texas manufacturing announcement reportedly joins the existing Tesla, Oracle, and Caterpillar Texas footprint and reportedly underwrote a notable CAT single-session move at \$1,057.01 (↑6.29% per the data drop). The structural read for FCI's industrial AI infrastructure thesis is that the data-center, energy, and equipment value chain reportedly continues to concentrate geographically, with CAT (data-center engines, gensets), STLD (\$251.00, ↑3.96% per the data drop), on the Keybank Overweight maintain with target reportedly raised to \$262 per Benzinga, and PCAR (\$121.68, ↑3.97%) reportedly capturing the industrial-vendor layer.

5. DVN Activist Pressure — Toms Capital Top-Five Stake. Per Yahoo coverage cited via the data drop, Toms Capital reportedly took a top-five stake in Devon Energy with fresh activist pressure reportedly emerging. DVN closed at \$42.60 (↓0.33% per the data drop) on Thursday. For FCI's energy sleeve, the activist event reportedly opens a potential value-realization track (asset sales, capital-return acceleration, portfolio reshape) that could reportedly cross-read into CVX and VLO over time; watch for an activist letter, disclosed engagement, or strategic-review headline as the next catalyst.

6. Crypto Sleeve Weakness — IBIT/ETHA Drift Continues. IBIT closed at \$33.52 (↓1.03% per the data drop) and ETHA at \$11.74 (↓1.51%), with the bitcoin spot tape reportedly trading sub-\$60,000 per Yahoo coverage Thursday at the lowest reportedly since 2024. The data drop's sentiment line continues to fall back to the Crypto Fear & Greed at 13 (Extreme Fear) as the CNN equity reading reportedly sits at 25.5 per Benzinga; the divergence reportedly persists. For FCI's digital asset sleeve, the drawdown reportedly tracks ETF outflows and the reportedly stalled CLARITY Act timing per Yahoo — the position-level read is that the cycle remains intact per 21Shares per Benzinga via the data drop, with the tape reportedly inside an extended consolidation.

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